JAIIB – Important Questions

With answers & short explanations · All 4 papers

Indian Economy & Indian Financial System

Q1. The Reserve Bank of India was established on:

A) 1 April 1935 ✓

B) 1 January 1949

C) 15 August 1947

D) 26 January 1950

RBI began on 1 April 1935 under the RBI Act, 1934; nationalised on 1 Jan 1949.

Q2. Repo rate is the rate at which RBI lends short-term funds to banks against:

A) Gold

B) Government securities ✓

C) Commercial paper

D) Shares

Repo = repurchase agreement; banks pledge G-Secs to borrow from RBI.

Q3. CRR is maintained by banks with RBI as a percentage of their:

A) Total assets

B) Net Demand and Time Liabilities (NDTL) ✓

C) Capital

D) Advances

Cash Reserve Ratio is a % of NDTL, kept with RBI in cash and earns no interest.

Q4. SLR must be maintained by banks in the form of:

A) Cash with RBI only

B) Liquid assets with the bank itself (cash, gold, G-Secs) ✓

C) Equity shares

D) Foreign currency

Statutory Liquidity Ratio is held by the bank itself in cash, gold or approved securities.

Q5. Which rate is aligned with the MSF (Marginal Standing Facility) rate?

A) Repo rate

B) Reverse repo rate

C) Bank Rate ✓

D) Base rate

Bank Rate is aligned with the MSF rate (repo + 25 bps).

Q6. GDP at market price equals GDP at factor cost plus:

A) Subsidies – indirect taxes

B) Indirect taxes – subsidies ✓

C) Direct taxes

D) Net factor income from abroad

GDP(MP) = GDP(FC) + indirect taxes – subsidies.

Q7. Fiscal deficit equals total expenditure minus:

A) Total receipts excluding borrowings ✓

B) Revenue receipts only

C) Tax revenue only

D) Total receipts including borrowings

Fiscal deficit = total expenditure – (revenue receipts + non-debt capital receipts).

Q8. Primary deficit is:

A) Fiscal deficit + interest payments

B) Fiscal deficit – interest payments ✓

C) Revenue deficit – capital receipts

D) Revenue deficit + interest

Primary deficit = Fiscal deficit – interest payments.

Q9. How many members are there in the Monetary Policy Committee (MPC)?

A) 4

B) 5

C) 6 ✓

D) 9

MPC has 6 members: 3 from RBI (incl. Governor) and 3 external.

Q10. Inflation targeting by RBI is based on which index?

A) WPI

B) CPI (Combined) ✓

C) GDP deflator

D) IIP

Flexible inflation target of 4% (+/- 2%) is measured on CPI-Combined.

Q11. Call money market deals with funds for a maturity of:

A) Overnight to 14 days ✓

B) 1 to 3 years

C) Above 5 years

D) 6 months

Call/notice money: overnight to 14 days.

Q12. Treasury Bills are issued with maximum maturity of:

A) 91 days

B) 182 days

C) 364 days ✓

D) 5 years

T-Bills come in 91, 182 and 364 days — all within one year.

Q13. NABARD was established in the year:

A) 1969

B) 1975

C) 1982 ✓

D) 1990

NABARD: 12 July 1982, apex for agriculture and rural credit.

Q14. Which institution is the apex financing body for MSMEs?

A) NABARD

B) SIDBI ✓

C) EXIM Bank

D) NHB

SIDBI was set up in 1990 for MSME financing.

Q15. The headquarters of the International Monetary Fund (IMF) is at:

A) Geneva

B) New York

C) Washington D.C. ✓

D) Basel

IMF and World Bank are headquartered in Washington D.C.

Q16. Agriculture and allied activities belong to which sector?

A) Primary ✓

B) Secondary

C) Tertiary

D) Quaternary

Primary = agriculture, mining, fishing; Secondary = industry; Tertiary = services.

Q17. NITI Aayog replaced the Planning Commission on:

A) 1 January 2015 ✓

B) 15 August 2014

C) 1 April 2015

D) 26 January 2016

NITI Aayog came into existence on 1 Jan 2015.

Q18. Which Five-Year Plan was based on the Mahalanobis model with stress on heavy industry?

A) First

B) Second ✓

C) Third

D) Fourth

Second Plan (1956-61).

Q19. The first Five-Year Plan followed which growth model?

A) Mahalanobis

B) Harrod-Domar ✓

C) Solow

D) Lewis

Harrod-Domar model, agriculture-focused.

Q20. Under revised MSME norms (from 1 Apr 2025), the investment ceiling for a Micro enterprise is:

A) ₹1 crore

B) ₹2.5 crore ✓

C) ₹5 crore

D) ₹10 crore

Micro: ₹2.5 cr investment and ₹10 cr turnover.

Q21. PSL target for agriculture within ANBC is:

A) 10%
B) 13.5%
C) 18% ✓
D) 25%
Agriculture 18% (small and marginal farmers 10%).

Q22. PM Gati Shakti was launched in:

A) 2019
B) 2020
C) 2021 ✓
D) 2022
October 2021, for integrated infrastructure planning.

Q23. International Solar Alliance has its headquarters at:

A) New Delhi
B) Gurugram ✓
C) Paris
D) Mumbai
ISA HQ is in Gurugram, India.

Q24. The number of Sustainable Development Goals is:

A) 10
B) 15
C) 17 ✓
D) 20
17 SDGs under the 2030 Agenda.

Q25. India has committed to net-zero emissions by:

A) 2050
B) 2060
C) 2065
D) 2070 ✓
Announced at COP26 in 2021.

Q26. WTO was established in:

A) 1945
B) 1991
C) 1995 ✓
D) 2001
1 Jan 1995; HQ Geneva.

Q27. The reserve asset created by the IMF is called:

A) SDR ✓
B) IBRD
C) ADR
D) GDR
Special Drawing Right.

Q28. Foreign Trade Policy 2023 aims at exports of USD ___ by 2030:

A) 1 trillion
B) 2 trillion ✓
C) 3 trillion
D) 5 trillion
USD 2 trillion (goods and services).

Q29. FEMA 1999 replaced:

A) FERA 1973 ✓
B) SEBI Act
C) PMLA
D) Banking Act
Foreign Exchange Regulation Act, 1973.

Q30. GST was launched in India on:

A) 1 April 2016
B) 1 July 2017 ✓
C) 1 April 2017
D) 1 January 2018
101st Constitutional Amendment.

Q31. M3 (broad money) equals M1 plus:

A) Post-office savings
B) Time deposits with banks ✓
C) Reserve money
D) Demand drafts
M3 = M1 + time deposits with banks.

Q32. M1 includes:

A) Currency with public + demand deposits + other deposits with RBI ✓
B) Only currency
C) Time deposits only
D) Post office deposits
Narrow money.

Q33. Reserve money is also called:

A) Broad money
B) High-powered money ✓
C) Near money
D) Fiat money
M0 / base money.

Q34. A fall in the rate of inflation is called:

A) Deflation
B) Disinflation ✓
C) Stagflation
D) Reflation
Prices still rise, but more slowly.

Q35. Stagflation means:

A) High inflation with low growth/high unemployment ✓

B) Low inflation with high growth

C) Falling prices

D) Rising GDP and falling prices

Inflation + stagnation.

Q36. The liquidity preference theory of interest was given by:

A) Keynes ✓

B) Fisher

C) Marshall

D) Ricardo

J.M. Keynes.

Q37. According to the Fisher equation, real interest rate is:

A) Nominal rate + inflation

B) Nominal rate – expected inflation ✓

C) Nominal × inflation

D) Nominal / inflation

r = i – expected inflation.

Q38. The phase of a business cycle that follows the peak is:

A) Expansion

B) Contraction ✓

C) Recovery

D) Boom

Peak → contraction → trough → recovery.

Q39. The SDF rate is placed ___ the repo rate:

A) 25 bps above

B) 25 bps below ✓

C) 50 bps below

D) equal to

SDF = repo – 25 bps; MSF = repo + 25 bps.

Q40. GDP from the expenditure side is:

A) C + I + G + (X – M) ✓

B) C + S + T

C) C + I – G

D) S + T + M

Consumption + investment + government + net exports.

Q41. GNP equals GDP plus:

A) Net indirect taxes

B) Net factor income from abroad ✓

C) Depreciation

D) Subsidies

GNP = GDP + NFIA.

Q42. Annual Financial Statement (Budget) is laid under Article:

A) 110
B) 112 ✓
C) 115
D) 266
Article 112.

Q43. Contingency Fund of India is under Article:

A) 266
B) 267 ✓
C) 268
D) 270
Article 267.

Q44. FRBM Act was enacted in:

A) 1991
B) 1998
C) 2003 ✓
D) 2010
Fiscal Responsibility and Budget Management Act, 2003.

Q45. Number of banks nationalised in 1969:

A) 6
B) 10
C) 14 ✓
D) 20
14 major banks (6 more in 1980).

Q46. Imperial Bank of India became SBI in:

A) 1935
B) 1949
C) 1955 ✓
D) 1969
SBI Act 1955.

Q47. NaBFID was set up in:

A) 2017
B) 2019
C) 2021 ✓
D) 2023
National Bank for Financing Infrastructure and Development.

Q48. The first development financial institution in India was:

A) IDBI
B) IFCI ✓
C) SIDBI
D) ICICI
IFCI, 1948.

Q49. Minimum Net Owned Fund required for an NBFC is:

A) ₹1 crore
B) ₹2 crore ✓
C) ₹5 crore
D) ₹10 crore
₹2 crore under RBI norms.

Q50. NBFCs are NOT allowed to:

A) Lend
B) Accept demand deposits ✓
C) Invest in securities
D) Do leasing
They cannot accept demand deposits.

Q51. IRDAI is headquartered at:

A) Mumbai
B) Delhi
C) Hyderabad ✓
D) Chennai
Hyderabad.

Q52. DICGC insurance cover per depositor per bank is:

A) ₹1 lakh
B) ₹3 lakh
C) ₹5 lakh ✓
D) ₹10 lakh
Raised to ₹5 lakh on 4 Feb 2020.

Q53. Narasimham Committee on financial system (first) reported in:

A) 1985
B) 1991 ✓
C) 1998
D) 2004
1991; second report in 1998.

Q54. SARFAESI Act was passed in:

A) 1993
B) 2002 ✓
C) 2007
D) 2016
2002.

Q55. Insolvency and Bankruptcy Code was enacted in:

A) 2008
B) 2013
C) 2016 ✓
D) 2019
2016.

Q56. Treasury bills are issued in tenors of:

A) 14, 28, 91 days
B) 91, 182, 364 days ✓
C) 1, 2, 5 years
D) 30, 60, 90 days
Zero-coupon, issued at discount.

Q57. Commercial paper has a minimum denomination of:

A) ₹1 lakh
B) ₹5 lakh ✓
C) ₹10 lakh
D) ₹25 lakh
₹5 lakh (also CDs).

Q58. CCIL was established in:

A) 1991
B) 1996
C) 2001 ✓
D) 2008
Clearing Corporation of India Ltd, 2001.

Q59. BSE was established in:

A) 1875 ✓
B) 1900
C) 1947
D) 1992
Asia's oldest stock exchange.

Q60. Equity trades in India settle on a ___ basis (since 2023):

A) T+3
B) T+2
C) T+1 ✓
D) T+0 only
T+1 from January 2023.

Q61. The first depository in India was:

A) CDSL
B) NSDL ✓
C) BSE
D) NSE
NSDL, 1996.

Q62. Standard spot settlement in forex market is:

A) T+0
B) T+1
C) T+2 ✓
D) T+5
Spot value is two working days.

Q63. Forfaiting is done:

A) With full recourse

B) Without recourse to the exporter ✓

C) Only for domestic sales

D) Only for services

Forfaiter buys export receivables without recourse.

Q64. TReDS mainly helps:

A) MSME sellers discount invoices ✓

B) Retail share trading

C) Forex booking

D) Gold loans

Trade Receivables Discounting System.

Q65. Venture capital funds fall under which AIF category?

A) Cat I ✓

B) Cat II

C) Cat III

D) Not an AIF

Cat I (venture, SME, social, infra).

Q66. In a finance lease the ownership of the asset remains with:

A) Lessee

B) Lessor ✓

C) Bank

D) Manufacturer

Lessor owns; lessee uses.

Q67. Credit rating agencies in India are regulated by:

A) RBI

B) SEBI ✓

C) IRDAI

D) MCA

SEBI (CRA) Regulations 1999.

Q68. ELSS mutual fund lock-in period is:

A) 1 year

B) 3 years ✓

C) 5 years

D) 7 years

Three years, 80C benefit.

Q69. ULIP has a lock-in period of:

A) 1 year

B) 3 years

C) 5 years ✓

D) 10 years

Five years.

Q70. At least ___ of net distributable cash flows must be distributed by a REIT:

A) 50%
B) 75%
C) 90% ✓
D) 100%
90%.

Q71. Atal Pension Yojana was launched in:

A) 2010
B) 2014
C) 2015 ✓
D) 2018
9 May 2015.

Q72. NPS was opened to all citizens from:

A) 1 Jan 2004
B) 1 May 2009 ✓
C) 1 Apr 2015
D) 1 Jan 2020
1 May 2009.

Principles & Practices of Banking

Q1. Which is NOT a basic function of management?

A) Planning
B) Organising
C) Leading
D) Speculating ✓

Planning, organising, leading (directing) and controlling are the basic functions.

Q2. The highest need in Maslow's hierarchy is:

A) Safety
B) Esteem
C) Self-actualisation ✓
D) Social

Order: physiological, safety, social, esteem, self-actualisation.

Q3. Herzberg's two factors are:

A) Hygiene and motivators ✓
B) X and Y
C) Push and pull
D) Need and want

Herzberg's Motivation-Hygiene theory.

Q4. Theory X and Theory Y were propounded by:

A) Frederick Taylor
B) Douglas McGregor ✓
C) Henri Fayol
D) Abraham Maslow

Douglas McGregor.

Q5. In SWOT analysis, 'O' stands for:

A) Objectives
B) Organisation
C) Opportunities ✓
D) Operations

Strengths, Weaknesses, Opportunities, Threats.

Q6. The 4 Ps of marketing mix are:

A) Product, Price, Place, Promotion ✓
B) Plan, Price, People, Profit
C) Product, Profit, Place, Policy
D) Price, Promotion, Process, Plan

Product, Price, Place, Promotion.

Q7. Target for Priority Sector Lending for domestic commercial banks (of ANBC / CEOBE) is:

A) 20%
B) 30%
C) 40% ✓
D) 50%

40% for domestic banks; foreign banks with 20+ branches are being brought to 40% (phased).

Q8. Under Mudra Yojana, 'Kishor' category covers loans of:

A) Up to ₹50,000
B) ₹50,001 to ₹5 lakh ✓
C) ₹5 lakh to ₹10 lakh
D) Above ₹10 lakh
Shishu ≤ ₹50k; Kishor ₹50k–5L; Tarun ₹5L–10L.

Q9. The five Cs of credit are Character, Capacity, Capital, Collateral and:

A) Cost
B) Conditions ✓
C) Credit
D) Control
Character, Capacity, Capital, Collateral, Conditions.

Q10. Tandon Committee recommended a minimum current ratio of:

A) 1:1
B) 1.33:1 ✓
C) 2:1
D) 3:1
Second method of lending needs a current ratio of at least 1.33:1.

Q11. Basel norms are issued by:

A) IMF
B) BCBS (Basel Committee on Banking Supervision) ✓
C) World Bank
D) RBI
BCBS, hosted at the Bank for International Settlements.

Q12. Lead Bank Scheme was introduced on the recommendation of:

A) Narasimham Committee
B) Gadgil Study Group ✓
C) Nayak Committee
D) Tandon Committee
Introduced in 1969 on the Gadgil Study Group's recommendation.

Q13. Net Working Capital is:

A) Current assets – current liabilities ✓
B) Fixed assets – current liabilities
C) Total assets – total liabilities
D) Current assets + current liabilities
NWC = CA – CL.

Q14. A leader who takes all decisions without consulting the team follows which style?

A) Democratic
B) Autocratic ✓
C) Laissez-faire
D) Participative
Autocratic leadership is one-way decision making.

Q15. Credit Information Companies in India are regulated under the:

A) SARFAESI Act, 2002

B) CIC (Regulation) Act, 2005 ✓

C) PMLA, 2002

D) Companies Act, 2013

Credit Information Companies (Regulation) Act, 2005 — e.g. CIBIL, Equifax.

Accounting & Financial Management for Bankers

Q1. The accounting equation is:

A) Assets = Liabilities + Capital ✓

B) Assets = Capital – Liabilities

C) Capital = Assets + Liabilities

D) Liabilities = Assets + Capital

A = L + C.

Q2. Straight-line depreciation per year equals:

A) (Cost – Salvage value) / Useful life ✓

B) Cost / Salvage value

C) Cost × rate × life

D) Salvage / Life

SLM spreads the depreciable amount evenly.

Q3. An asset is classified NPA if interest/instalment remains overdue for more than:

A) 30 days

B) 60 days

C) 90 days ✓

D) 180 days

90-day overdue norm for term loans and cash credit.

Q4. A sub-standard asset is one that has remained NPA for a period:

A) Not exceeding 12 months ✓

B) Over 12 months

C) Over 36 months

D) Over 5 years

Up to 12 months sub-standard; then doubtful.

Q5. Compound interest on ₹10,000 at 10% p.a. for 2 years is:

A) ₹2,000

B) ₹2,100 ✓

C) ₹2,200

D) ₹1,100

$10{,}000 \times (1.1)^2 = 12{,}100$; CI = ₹2,100.

Q6. Bank financial statements are prepared in formats given in the:

A) Third Schedule of the Banking Regulation Act, 1949 ✓

B) Schedule III of Companies Act

C) RBI Act, 1934

D) Negotiable Instruments Act

Form A (Balance Sheet) and Form B (P&L) of the Third Schedule.

Q7. The median is:

A) The most frequent value

B) The middle value of ordered data ✓

C) The average of all values

D) The highest value

Median = middle observation when data is sorted.

Q8. The value of the coefficient of correlation lies between:

A) 0 and 1

B) –1 and +1 ✓

C) –∞ and +∞

D) 0 and 100

–1 perfect negative, +1 perfect positive.

Q9. Standard deviation measures:

A) Central tendency

B) Dispersion ✓

C) Skewness only

D) Correlation

It shows spread of values around the mean.

Q10. Cash flow statement reports cash flows from operating, investing and:

A) Financing activities ✓

B) Marketing activities

C) Trading activities

D) Tax activities

Operating, investing, financing (AS-3 / Ind AS 7).

Q11. Minimum capital to risk-weighted assets ratio (CRAR) required by RBI under Basel III is:

A) 8%

B) 9% ✓

C) 12%

D) 15%

9% minimum, plus 2.5% capital conservation buffer = 11.5%.

Q12. Goodwill is a(n):

A) Tangible asset

B) Intangible asset ✓

C) Current liability

D) Reserve

Goodwill has no physical form.

Q13. Current ratio is calculated as:

A) Current assets / Current liabilities ✓

B) Current liabilities / Current assets

C) Quick assets / Current liabilities

D) Debt / Equity

Measures short-term liquidity.

Q14. Present value of a future sum is found by:

A) Compounding

B) Discounting ✓

C) Amortising

D) Depreciating

PV = FV / (1 + r)^n.

Q15. A sub-standard asset that stays NPA for more than 12 months becomes:

A) Standard

B) Doubtful ✓

C) Loss

D) Restructured

Doubtful asset.

Q16. Which of these is a revenue expenditure?

A) Purchase of building

B) Salary paid to staff ✓

C) Purchase of computer

D) Goodwill purchased

Day-to-day running costs are revenue expenditure.

Retail Banking & Wealth Management

Q1. KYC norms of banks are mandated under the:

A) Prevention of Money Laundering Act, 2002 ✓

B) Companies Act

C) Income Tax Act

D) Consumer Protection Act

PMLA 2002 and RBI KYC Master Direction.

Q2. Pradhan Mantri Jan Dhan Yojana was launched in:

A) 2010

B) 2012

C) 2014 ✓

D) 2016

Launched 28 August 2014 for financial inclusion.

Q3. Atal Pension Yojana is open to citizens aged:

A) 18 to 40 years ✓

B) 18 to 50 years

C) 21 to 60 years

D) 25 to 65 years

Entry age 18–40; pension ₹1,000–5,000 per month after 60.

Q4. PMSBY (accident insurance) gives a cover of ₹2 lakh for an annual premium of:

A) ₹12

B) ₹20 ✓

C) ₹330

D) ₹436

PMSBY ₹20 (age 18–70); PMJJBY ₹436 (age 18–50, life cover ₹2 lakh).

Q5. Mutual funds in India are regulated by:

A) RBI

B) SEBI ✓

C) IRDAI

D) PFRDA

SEBI (Mutual Funds) Regulations, 1996.

Q6. Insurance sector regulator in India is:

A) IRDAI ✓

B) SEBI

C) NABARD

D) PFRDA

Insurance Regulatory and Development Authority of India.

Q7. DICGC insures deposits of each depositor in a bank up to:

A) ₹1 lakh

B) ₹2 lakh

C) ₹5 lakh ✓

D) ₹10 lakh

₹5 lakh per depositor per bank (principal + interest).

Q8. RTGS is meant for transactions with a minimum value of:

A) No minimum
B) ₹10,000
C) ₹1 lakh
D) ₹2 lakh ✓
Minimum ₹2 lakh; no maximum limit.

Q9. UPI was developed by:

A) RBI
B) NPCI ✓
C) SEBI
D) IBA
National Payments Corporation of India.

Q10. National Pension System is regulated by:

A) IRDAI
B) SEBI
C) PFRDA ✓
D) RBI
Pension Fund Regulatory and Development Authority.

Q11. Sukanya Samriddhi Account can be opened for a girl child below the age of:

A) 5 years
B) 10 years ✓
C) 15 years
D) 18 years
Opened by guardian for a girl up to 10 years of age.

Q12. A cheque is normally valid for:

A) 1 month
B) 3 months ✓
C) 6 months
D) 1 year
Cheque validity period is 3 months from the date of the instrument.

Q13. Selling insurance products through banks is called:

A) Bancassurance ✓
B) Reinsurance
C) Underwriting
D) Securitisation
Bank acts as a corporate agent of an insurer.

Q14. SIP in mutual funds stands for:

A) Single Investment Plan
B) Systematic Investment Plan ✓
C) Secured Income Product
D) Standard Interest Plan
Fixed amount invested at regular intervals; benefits from rupee-cost averaging.

Q15. Which one is a 'plastic money' product?

A) Demand draft

B) Debit/Credit card ✓

C) Pay order

D) Cheque book

Cards are called plastic money.

Q16. NEFT facility is available:

A) Only on working days

B) 24x7, all days ✓

C) Only 9 am – 5 pm

D) Only on weekdays up to 6 pm

NEFT has been 24x7x365 since December 2019.

IE & IFS – Short Notes (Modules A to D)

Module A: Indian Economic Architecture

1. Indian Economy – An Overview

- India is a mixed economy: private sector and public sector work together; one of the fastest-growing large economies and among the top-5 by nominal GDP.
- Financial year = 1 April to 31 March. Services contribute the largest share of GVA, then industry, then agriculture (agriculture still employs the largest share of workforce).
- Key strengths: young population (demographic dividend), large domestic market, strong services and IT exports. Key weaknesses: jobs, income inequality, infrastructure gaps.
- Economic indicators: GDP growth, per-capita income, inflation, fiscal deficit, current account deficit, forex reserves, IIP (industrial production).

2. Economic Planning in India

- Planning Commission set up in 1950 (Chairman: Prime Minister); replaced by NITI Aayog on 1 Jan 2015. Twelve Five-Year Plans ran 1951–2017.
- 1st Plan (1951–56): Harrod-Domar model, agriculture. 2nd Plan (1956–61): Mahalanobis model, heavy industry. Plan holiday 1966–69. Rolling Plan 1978–80.
- 1991 balance-of-payments crisis led to LPG reforms (Liberalisation, Privatisation, Globalisation) from the 8th Plan.
- NITI Aayog = policy think-tank, promotes cooperative federalism, bottom-up approach; runs Aspirational Districts Programme, SDG India Index, Atal Innovation Mission.
- National Development Council (NDC) approved plans; planning type: indicative planning after 1991.

3. Sectors of the Indian Economy

- Primary: agriculture, mining, fishing, forestry. Secondary: manufacturing, construction, utilities. Tertiary: services (banking, IT, trade, transport).
- GVA at basic prices is the sectoral measure; GDP at market prices = GVA + product taxes – product subsidies.
- Agriculture: Green Revolution (1960s), MSP (Minimum Support Price) announced by CACP recommendation, Kisan Credit Card (KCC), PM-KISAN.
- Industry: Make in India (2014), PLI schemes, Industrial Policy 1991 abolished most licensing. Services: biggest growth driver.

4. Role of Priority Sector & MSME

- Priority Sector Lending (PSL) target: 40% of ANBC (Adjusted Net Bank Credit) or CEOBE, whichever is higher, for domestic commercial banks.
- Sub-targets: Agriculture 18% (small and marginal farmers 10%), Micro enterprises 7.5%, Weaker sections 12%. Shortfall goes to RIDF (NABARD) and similar funds.
- PSL Certificates (PSLC) can be traded to meet targets. Categories: agriculture, MSME, export credit, education, housing, social infrastructure, renewable energy, weaker sections.
- MSME classification is by investment and turnover (composite criteria from 1 Jul 2020; limits raised from 1 Apr 2025: Micro up to Rs 2.5 cr investment / Rs 10 cr turnover; Small Rs 25 cr / Rs 100 cr; Medium Rs 125 cr / Rs 500 cr).
- Udyam registration, CGTMSE (credit guarantee), MUDRA loans (Shishu, Kishor, Tarun), SIDBI as apex MSME financier, TReDS for invoice discounting.

5. Infrastructure incl. Social Infrastructure

- Economic infrastructure: energy, transport (roads, rail, ports, airports), telecom, irrigation. Social infrastructure: education, health, housing, sanitation.
- PPP (Public-Private Partnership) models: BOT, BOOT, annuity, HAM. National Infrastructure Pipeline (NIP), National Monetisation Pipeline (NMP).
- PM Gati Shakti (2021) = integrated planning platform; Bharatmala (roads), Sagarmala (ports), UDAN (regional air connectivity).
- Financing: InvITs, Infrastructure Debt Funds, IIFCL (2006), NaBFID (2021, DFI for infrastructure), infrastructure bonds. Banks: long-term infra loans can be funded by long-term bonds.

6. Globalisation – Impact on India

- Globalisation = growing integration of economies via trade, capital flows, technology and labour mobility. WTO (1995) succeeded GATT.
- Positives: higher FDI/FPI inflows, export growth, technology transfer, consumer choice, IT/BPO boom. Negatives: volatile capital flows, import competition, widening inequality, exposure to global shocks.
- India: rupee made convertible on current account in 1994 (IMF Article VIII); capital account convertibility is only partial.

7. Economic Reforms

- 1991 reforms: devaluation of rupee, New Industrial Policy (de-licensing), trade liberalisation, banking reforms (Narasimham Committee 1991), FDI opening.
- FERA replaced by FEMA 1999 (in force June 2000). IBC 2016, RERA 2016, GST from 1 July 2017 (101st Constitutional Amendment), corporate tax cut 2019.
- Four Labour Codes consolidated 29 labour laws (brought into effect in Nov 2025). Atmanirbhar Bharat, PLI schemes for manufacturing.
- Second-generation reforms: tax, labour, land, financial-sector, public-sector divestment.

8. Foreign Trade Policy, Foreign Investment & Development

- Foreign Trade Policy 2023 (effective 1 Apr 2023): target of USD 2 trillion exports by 2030; DGFT administers; schemes: RoDTEP, Advance Authorisation, EPCG, SEZ.
- Balance of Payments = current account (trade, services, income, transfers) + capital account (FDI, FPI, ECB, NRI deposits). Current Account Deficit (CAD) financed from capital account.
- FDI routes: Automatic and Government route. FPI = portfolio investment in listed securities (hot money). ECB = External Commercial Borrowings; NRE/NRO/FCNR(B) deposits.
- Liberalised Remittance Scheme (LRS): resident individuals can remit up to USD 250,000 per financial year.
- India's forex reserves are held by RBI (foreign currency assets, gold, SDRs, reserve tranche).

9. International Economic Organisations

- IMF: formed at Bretton Woods 1944, began 1945, HQ Washington DC, 191 members; provides balance-of-payments support; SDR is its reserve asset.
- World Bank group: IBRD, IDA, IFC, MIGA, ICSID – HQ Washington DC. WTO: HQ Geneva, 1995. BIS: Basel (central banks' bank; hosts BCBS).
- ADB: Manila. AIIB: Beijing (2016). New Development Bank (BRICS): Shanghai. UNCTAD, G20, BRICS, SAARC are other groupings.

10. Climate Change & SDGs

- 17 Sustainable Development Goals under the 2030 Agenda (adopted 2015). Paris Agreement 2015; COP summits review climate action.
- India: net-zero by 2070 (announced at COP26, 2021), NDCs, International Solar Alliance (HQ Gurugram), National Solar Mission.
- Green finance: Sovereign Green Bonds, green deposits framework by RBI (2023), ESG disclosures (BRSR by SEBI), climate-risk disclosure norms for REs.
- Banks' role: fund renewable energy (PSL covers it), avoid high-carbon exposures, manage physical and transition climate risk.

11. Issues Facing the Indian Economy

- Poverty (measured by multidimensional poverty index by NITI), unemployment and under-employment, inflation, inequality, regional disparity.
- Fiscal stress: high fiscal deficit and public debt; shift to debt-to-GDP as fiscal anchor announced in Budget 2025-26.
- Banking: NPAs reduced sharply since 2018 but credit-deposit dynamics, cyber risk and governance remain concerns.
- Other: infrastructure bottlenecks, agriculture productivity, skill gaps, climate risk, global uncertainty and trade tensions.

Module B: Economic Concepts Related to Banking

1. Fundamentals of Economics, Micro/Macro, Types of Economies

- Economics studies allocation of scarce resources among competing uses. Core ideas: scarcity, choice, opportunity cost, production possibility curve (PPC).
- Microeconomics: individual units (consumer, firm, market price). Macroeconomics: aggregates (GDP, inflation, unemployment, money supply).
- Positive economics = what is; normative = what ought to be. Factors of production: land, labour, capital, enterprise (rent, wages, interest, profit).
- Economies: capitalist (market), socialist (command), mixed (India).

2. Supply and Demand

- Law of demand: price up, quantity demanded down (inverse). Law of supply: price up, quantity supplied up (direct).
- Equilibrium where demand = supply. Shift of curve: income, tastes, prices of related goods, expectations; movement along curve: own price change.
- Price elasticity of demand = % change in quantity / % change in price. Necessities: inelastic; luxuries: elastic. Elasticity > 1 elastic, < 1 inelastic, = 1 unitary.
- Normal goods (demand rises with income), inferior goods (falls), Giffen goods (price up, demand up), substitutes (tea/coffee), complements (car/petrol).

3. Money Supply and Inflation

- Reserve money M0 = currency in circulation + bankers' deposits with RBI + other deposits with RBI (high-powered money).
- M1 = currency with public + demand deposits + other deposits with RBI (narrow money). M3 = M1 + time deposits with banks (broad money). RBI also publishes liquidity aggregates L1-L3.
- Money multiplier = M3 / M0; falls when CRR rises. Quantity theory: MV = PT.
- Inflation types: demand-pull, cost-push, structural. Deflation = falling prices; disinflation = falling inflation rate; stagflation = high inflation + low growth; reflation = policy-induced price rise.
- Measured by CPI (used for inflation targeting, 4% with +/- 2% band) and WPI. Phillips curve: inverse relation between inflation and unemployment (short run).

4. Theories of Interest

- Classical: interest equalises savings and investment (reward for waiting/abstinence). Loanable funds theory: supply and demand of credit.
- Keynes' liquidity preference theory: interest is the price for parting with liquidity; motives: transaction, precautionary, speculative.
- Fisher effect: real interest rate = nominal interest rate – expected inflation.
- Yield curve: normal (upward), inverted (short rates above long = recession signal), flat. Theories: expectations, liquidity premium, market segmentation.

5. Business Cycles

- Phases: expansion, peak (boom), contraction (recession), trough (depression), recovery. Technical recession = two consecutive quarters of negative GDP growth.
- Cycles: Kitchin (3-5 years, inventory), Juglar (7-11 years, investment), Kuznets (15-25 years, infrastructure), Kondratieff (45-60 years).
- Counter-cyclical policy: raise rates/cut spending in boom, cut rates/raise spending in slump. Banks' credit growth is pro-cyclical; Basel III has a countercyclical buffer.

6. Monetary Policy and Fiscal Policy

- Monetary policy is set by RBI's Monetary Policy Committee (6 members: 3 RBI + 3 external; Governor casts the deciding vote in a tie), statutory under RBI Act s.45ZB.
- Quantitative tools: CRR, SLR, repo rate, reverse repo, MSF, Bank rate, SDF, OMOs, LAF, MSS. Qualitative: margin requirements, moral suasion, selective credit control, direct credit ceilings.
- Policy corridor: SDF = repo – 25 bps (floor); MSF = repo + 25 bps (ceiling); Bank Rate = MSF rate. Reverse repo is now a separate fixed-rate facility.
- Fiscal policy: government taxation, spending and borrowing. Revenue deficit = revenue expenditure – revenue receipts. Fiscal deficit = total expenditure – total receipts excluding borrowings. Primary deficit = fiscal deficit – interest payments.
- FRBM Act 2003 aims at fiscal discipline; N.K. Singh Committee (2017) recommended debt/GDP anchor. Crowding out: heavy government borrowing raises interest rates.

7. National Income & GDP Concepts

- GDP = value of final goods and services produced within the country in a year. GNP = GDP + net factor income from abroad (NFIA).
- NNP = GNP – depreciation. National income = NNP at factor cost = NNP at market price – indirect taxes + subsidies.
- GDP at market price = GDP at factor cost + indirect taxes – subsidies. GVA (basic prices) = output – intermediate consumption; GDP (MP) = GVA + product taxes – product subsidies.
- Methods: product/value-added, income, expenditure. Expenditure: GDP = C + I + G + (X – M). Real GDP = nominal GDP / deflator x 100.
- Compiled by NSO under MoSPI, with a base year for constant-price series; per-capita income = national income / population.

8. Union Budget

- Annual Financial Statement is placed in Parliament under Article 112; usually presented on 1 February. Consolidated Fund (Art 266), Contingency Fund (Art 267), Public Account (Art 266(2)).
- Revenue budget = revenue receipts (tax + non-tax) and revenue expenditure; Capital budget = capital receipts (borrowings, recoveries, disinvestment) and capital expenditure.
- Finance Bill (tax proposals), Appropriation Bill (spending authority), Vote on Account (interim spending), Money Bill (Lok Sabha only).
- Other: Gender Budget, Outcome Budget, Zero-Based Budgeting, FRBM statements, GST Council (GST rates). Direct taxes: income tax, corporate tax; indirect: GST, customs, excise on few goods.

Module C: Indian Financial Architecture

1. Indian Financial System – An Overview

- Financial system = financial institutions + financial markets + financial instruments + financial services, channelling savings into investment.
- Money market (up to 1 year) vs capital market (above 1 year). Formal sector (regulated) vs informal (moneylenders, chit funds).
- Functions: mobilise savings, allocate credit, payments/settlement, risk management, price discovery. Financial inclusion: PMJDY, BCs, UPI.

2. Indian Banking Structure

- RBI at the top; commercial banks: public sector (12 after 2019-20 mergers), private sector, foreign banks, Small Finance Banks, Payments Banks, Regional Rural Banks, Local Area Banks; co-operatives: urban co-operative banks, state/district co-operative banks, PACS.
- Scheduled banks are included in the Second Schedule of RBI Act 1934 (min CRR compliance etc.). 14 banks nationalised in 1969, 6 more in 1980. Imperial Bank became SBI in 1955.
- RRBs set up under RRB Act 1976 (ownership: Centre 50%, State 15%, sponsor bank 35%). Payments banks: deposits capped at Rs 2 lakh per customer, cannot lend. SFBs: min capital Rs 200 crore, 75% PSL.
- Universal banking, on-tap licensing for private banks (2016), differentiated banks.

3. Banking Regulation Act 1949 & RBI Act 1934

- BR Act 1949 (applies to co-operative banks with modifications since 1966): s.5(b) defines banking, s.6 permitted business, s.8 bars trading, s.10A board composition, s.17 reserve fund (20% of profit), s.22 licensing, s.24 SLR, s.35 inspection, s.35A RBI directions, s.45 moratorium/amalgamation.
- Banking Laws (Amendment) Act 2025: up to 4 nominees, substantial interest limit raised from Rs 5 lakh to Rs 2 crore, flexibility in director tenure of co-operative banks.
- RBI Act 1934: RBI began operations 1 Apr 1935; nationalised 1 Jan 1949; s.22 sole right to issue notes (Re 1 note and coins by the Government); s.42 CRR; s.45ZB Monetary Policy Committee; s.45-IA NBFC registration.
- Issue Department and Banking Department; Minimum Reserve System (1957: Rs 200 crore, gold Rs 115 crore + foreign securities Rs 85 crore).

4. Development Financial Institutions

- DFIs provide long-term finance: IFCI (1948, first DFI), SFCs (1951), ICICI (1955), IDBI (1964, now a bank), NABARD and EXIM Bank (1982), NHB (1988), SIDBI (1990), IIFCL (2006), NaBFID (2021).
- NABARD: apex for agriculture/rural credit, refinance to co-operatives and RRBs; SIDBI: MSMEs; EXIM Bank: foreign trade finance; NHB: housing finance regulator earlier (HFCs now regulated by RBI since 2019).
- NaBFID: infrastructure DFI set up under NaBFID Act 2021.

5. Micro Finance Institutions

- Microfinance = small loans to low-income households. Models: SHG-Bank Linkage (NABARD, 1992), Joint Liability Groups (JLG), NBFC-MFIs.
- RBI harmonised regulation (effective 1 Apr 2022): household annual income cap Rs 3 lakh, loan repayment obligations not above 50% of household income, board-approved interest-rate policy, no prepayment penalty.
- NBFC-MFI: min 75% of assets as qualifying assets. SRO: MFIN and Sa-Dhan. Related: MUDRA (2015), PMJDY, SIDBI Foundation for Micro Credit.

6. Non-Banking Financial Companies

- NBFC = company registered under Companies Act engaged in lending/investing; registration under RBI Act s.45-IA; min Net Owned Fund Rs 2 crore.
- NBFCs cannot accept demand deposits, cannot issue cheques on themselves, are not part of the payment and settlement system and have no DICGC deposit insurance.
- Types (activity-based): Investment & Credit Company, Infrastructure Finance Co, Core Investment Co, Infrastructure Debt Fund, MFI, Factor, P2P, Account Aggregator, Mortgage Guarantee Co. HFCs are under RBI since Aug 2019.
- Scale-Based Regulation (from Oct 2022): Base, Middle, Upper and Top layers; the top 10 by size are upper layer.

7. Insurance Companies

- Insurance Act 1938, IRDA Act 1999 (IRDAI HQ Hyderabad). LIC formed 1956 (life nationalised), GIC 1972 (general), GIC Re is the national reinsurer.
- Life insurance (term, endowment, whole life, ULIP, annuity) and general insurance (health, motor, fire, marine).
- Bancassurance: banks act as corporate agents (referral/agency), no underwriting risk; open architecture allows tie-up with multiple insurers.
- Insurance Laws (Amendment) 2025 liberalised the sector; Bima Sugam is a digital marketplace.

8. Regulators and Their Roles

- RBI: banks, NBFCs, payments (PSS Act 2007), forex (FEMA), money & G-sec market. SEBI: securities market, mutual funds, CRAs, merchant bankers (statutory since 1992).
- IRDAI: insurance. PFRDA: NPS/pensions (statutory 2013). IFSCA: GIFT City IFSC (2020). FSDC: apex coordination council chaired by the Finance Minister (2010).
- DICGC: deposit insurance, subsidiary of RBI, cover Rs 5 lakh per depositor per bank (since 4 Feb 2020). FIU-IND: money-laundering intelligence. FMC merged into SEBI in 2015.

9. Reforms & Developments in the Banking Sector

- Narasimham I (1991): cut CRR/SLR, prudential norms, four-tier structure; Narasimham II (1998): CAR 9%, bank mergers, NPA management.
- Tools for NPAs: DRTs (1993), SARFAESI 2002, ARCs, Lok Adalats, IBC 2016, NARCL (bad bank, 2021). Indradhanush (2015), 4R strategy; PSB mergers (27 to 12).
- Lending rates: BPLR to Base Rate (2010), MCLR (Apr 2016), EBLR mandatory for floating retail loans (Oct 2019).
- Digital: UPI, Account Aggregator framework, ONDC, CBDC (e-Rupee pilot 2022), Integrated Ombudsman Scheme 2021. Financial Services Institutions Bureau (FSIB) replaced Bank Board Bureau (2022).

Module D: Financial Products and Services

1. Overview of Financial Markets

- Markets: money, capital, forex, credit, derivatives, commodity. Primary market = new issues; secondary market = trading of existing securities.
- Functions: price discovery, liquidity, risk transfer, capital formation. Regulators: RBI (money, G-sec, forex), SEBI (capital markets, derivatives).

2. Money Markets and Capital Markets

- Call money (overnight), notice money (2-14 days), term money (15 days to 1 year). T-bills (91, 182, 364 days, issued at discount, zero coupon). CP and CD: min Rs 5 lakh, short-term, issued at discount.
- CD: banks 7 days to 1 year, FIs 1-3 years. TREPS (tri-party repo, CCIL) replaced CBLO. CCIL set up 2001 as central counterparty.
- Capital market: equity and long-term debt; primary routes: IPO, FPO, rights issue, QIP, private placement, OFS; secondary: stock exchanges. Regulated by SEBI.

3. Fixed Income Markets – Debt/Bond Markets

- G-Secs: dated securities and T-bills issued by the Centre; State Development Loans (SDLs) by states. Bond price and yield move inversely.
- Concepts: coupon, YTM, duration, face value. Auctions: uniform-price / multiple-price. Primary dealers deal in G-secs. Retail Direct portal (2021) lets retail investors buy G-secs.
- Corporate bonds: debentures, NCDs; need credit rating; FIMMDA, NDS-OM for trading. Benchmark: 10-year G-sec yield. Floating-rate and inflation-indexed bonds exist.

4. Capital Markets and Stock Exchanges

- BSE (1875, Asia's oldest), NSE (recognised 1993, trading from 1994). Indices: Sensex (30), Nifty 50. Depositories: NSDL (1996), CDSL (1999); demat form.
- Equity settlement T+1 since January 2023. IPO allotment: ASBA, UPI mandate; book building. SEBI Act 1992; insider trading regulations 2015.
- Circuit breakers, listing norms, SME platforms, market makers; KYC via KRA.

5. Forex Markets

- Spot (settlement T+2), forward, swap, options. FEMA 1999 governs forex; Authorised Dealers (AD Category-I banks) deal; FEDAI sets rules.
- Direct vs indirect quote; bid-ask; premium/discount; Nostro, Vostro and Loro accounts; NEER and REER indices; exchange rate is market-determined with RBI intervention.
- Hedging via forwards, options; interest rate parity links forward premium to interest-rate differential.

6. Interconnection of Markets / Market Dynamics

- Policy repo rate transmits to call rate, T-bill yields, bond yields, deposit/lending rates, forex forwards and equity valuations.
- Arbitrage keeps markets aligned. Capital inflows strengthen rupee and ease yields; outflows do opposite. Liquidity (LAF/SDF/OMO) links money market to policy.

7. Merchant Banking Services

- SEBI (Merchant Bankers) Regulations 1992; only Category I merchant bankers now (net worth Rs 5 crore).
- Services: issue management/lead manager, underwriting, portfolio management, loan syndication, mergers and acquisitions advice, project advisory. Due diligence and filing of offer document with SEBI.

8. Derivatives incl. Credit Default Swaps

- Derivative value is derived from an underlying: forwards (OTC), futures (exchange-traded, margins), options (call/put, strike, premium), swaps (IRS, currency swap).
- Uses: hedging, speculation, arbitrage. Index options in India are European style. OTC rate/currency derivatives regulated by RBI; exchange-traded by SEBI.
- CDS: buyer pays periodic premium to be protected against default of a reference entity; seller compensates on credit event. RBI Credit Derivatives Directions 2022.

9. Factoring, Forfaiting & TReDS

- Factoring: sale of receivables to a factor (with or without recourse); Factoring Regulation Act 2011; NBFC-Factor needs min NOF Rs 5 crore and 50% factoring income and assets.
- Forfaiting: purchase of medium-term export receivables (usually bills/promissory notes) without recourse to exporter; at discount.
- TReDS: electronic platform for discounting MSME invoices of corporate buyers (RXIL, M1xchange, Invoicemart); RBI-regulated (PSS Act).

10. Venture Capital

- Funds start-ups at early stage: seed, start-up, growth, bridge, mezzanine. SEBI AIF Regulations 2012 replaced VCF regulations 1996.
- AIF categories: Cat I (venture, SME, social, infrastructure), Cat II (private equity, debt), Cat III (hedge funds). Min corpus Rs 20 crore, min investment Rs 1 crore.
- Startup India (2016), SIDBI Fund of Funds, angel funds.

11. Leasing and Hire Purchase

- Lease: lessor owns, lessee uses and pays rentals. Finance lease (full payout, non-cancellable) vs operating lease; sale and leaseback, leveraged lease.
- Hire purchase (Hire Purchase Act 1972): ownership passes to hirer on payment of the last instalment; hirer claims depreciation; in a lease the lessor claims depreciation.
- Accounting for leases follows Ind AS 116.

12. Credit Rating Agencies & Their Functions

- Regulated by SEBI (CRA Regulations 1999). Agencies: CRISIL (1987, first), ICRA, CARE, India Ratings, Brickwork, Acuite, Infomerics.
- Long-term symbols from AAA (highest) to D (default); BBB-/BBB(-) is the lowest investment grade; short-term A1+ highest. Outlook: positive/stable/negative; credit watch.
- RBI-accredited ECAIs for Basel risk weights. Rating is an opinion on creditworthiness, not a recommendation to buy.

13. Mutual Funds

- SEBI (Mutual Funds) Regulations 1996; AMFI. Structure: sponsor, trust, trustees, AMC, custodian, registrar. UTI was first (1963).
- NAV = (market value of assets – liabilities) / units outstanding. Open-ended vs close-ended; ETFs, index funds, ELSS (3-year lock-in under 80C).
- SIP, SWP, STP, exit load, expense ratio, direct vs regular plans. Categories: equity, debt, hybrid, solution-oriented, other. Large cap = top 100, mid cap 101-250, small cap 251+.

14. Insurance Products

- Life: term, whole life, endowment, money-back, ULIP (5-year lock-in), annuity. General: health, motor (third-party mandatory), fire, marine, travel.
- Principles: utmost good faith, insurable interest, indemnity, subrogation, contribution, proximate cause. Free-look period 15 days (30 days for distance marketing).
- Government schemes: PMJJBY, PMSBY, Ayushman Bharat PM-JAY (Rs 5 lakh per family). Banks sell as corporate agents (bancassurance).

15. Pension Funds (APY, NPS)

- NPS: launched 1 Jan 2004 for government staff, open to all citizens from 1 May 2009, regulated by PFRDA. Tier I (restricted withdrawal) and Tier II (voluntary). Permanent Retirement Account Number (PRAN).
- On exit at 60: at least 40% to buy annuity; the rest as lump sum. Extra deduction Rs 50,000 under 80CCD(1B). Central Recordkeeping Agencies: Protean, KFintech, CAMS.
- APY: launched 9 May 2015, age 18-40, guaranteed pension Rs 1,000-5,000 per month from 60, auto-debit through bank account; income-tax payers not eligible from 1 Oct 2022.
- Unified Pension Scheme (UPS) for central government employees from 1 Apr 2025.

16. Para Banking & Financial Services by Banks

- Para banking = non-fund based services by banks: distribution of mutual funds and insurance, demat/DP, third-party products, credit cards, PMS (agency), wealth advisory.
- RBI requires board-approved policy, no linking of third-party products with deposits/loans, clear disclosure of risks, product suitability and no mis-selling.
- Insurance: bank is corporate agent, no risk on balance sheet. Subsidiaries need RBI approval.

17. REITs / InvITs (concept)

- REIT: trust owning income-generating real estate; InvIT: trust owning infrastructure assets. Regulated by SEBI (REIT and InvIT Regulations 2014); units listed on exchanges.
- Structure: sponsor, manager, trustee. At least 90% of net distributable cash flows must be distributed. Borrowing capped (49% of asset value for REITs/InvITs).
- SEBI framework for Small and Medium REITs introduced (2024). First REIT: Embassy Office Parks (2019).

Current Updates (as on 25 Oct 2026)

RBI Monetary Policy – 7 October 2026 (MPC met 5-7 Oct)

- Repo rate raised by 25 bps to 5.50% (first hike since February 2023). Vote: 6-0 for the rate hike.
- SDF rate 5.25%; MSF rate and Bank Rate 5.75%. CRR unchanged at 3%, SLR unchanged at 18%.
- Stance changed from neutral to calibrated tightening (vote 4-2; two members preferred neutral).
- FY27 projections: real GDP growth 7.1% (earlier 6.7%), CPI inflation 5.2% (earlier 5.0%).
- Governor: Sanjay Malhotra. Next MPC meeting: 2-4 December 2026.
- Minutes (21 Oct): rate cuts 'off the table' in the near term; next action is a hike or a pause.

RBI regulatory announcements (Oct 2026)

- Daily CRR maintenance requirement raised from 90% to 99% of required CRR, from the fortnight starting 16 Oct 2026 (CRR rate itself unchanged).
- Account Aggregator interoperability: customers can use any NBFC-AA to access/share data; target date 31 Dec 2026.
- A Technical Consultative Committee for Financial Markets to be set up for dialogue with money, G-sec and forex participants.

Repo rate path (recent cycle)

- 2025: cuts in Feb (6.25%), Apr (6.00%), Jun (5.50%) and Dec (5.25%); CRR cut to 3% (phased in late 2025). 2026: hike to 5.50% in Oct.
- Policy corridor now: SDF 5.25% - repo 5.50% - MSF/Bank Rate 5.75%.

Other items to remember

- Banking Laws (Amendment) Act 2025: up to 4 nominees, substantial-interest threshold Rs 2 crore.
- Unified Pension Scheme (UPS) effective 1 Apr 2025; DICGC cover remains Rs 5 lakh per depositor per bank.
- MSME classification limits revised from 1 Apr 2025; Four Labour Codes brought into effect Nov 2025.
- JAIIB exam pattern: 100 MCQs, 100 marks, 2 hours, no negative marking (check the latest IIBF notice for dates and rules).

Source: RBI MPC statement coverage and news reports as of 25 Oct 2026. Verify every figure against the RBI website / IIBF before the exam.